

overextrapolate or overreact? If you know you overextrapolate, do you overextrapolate less than the average investor? If you act like everyone else, then simply hold the market portfolio. If you overreact more, perhaps unconsciously, then you tilt toward growth stocks. If you can go against the crowd, then value investing is for you.

3.6. VALUE IN OTHER ASSET CLASSES

Value in essence buys assets with high yields (or low prices) and sells assets with low yields (or high prices). While in equities the strategy is called value-growth investing, the same strategy of buying high-yielding assets and selling low-yielding assets works in all asset classes but goes by different names. Many commentators view these different asset-class strategies as distinct, but they share many features. In fixed income, the value strategy is called *riding the yield curve* and is a form of the duration premium (see chapter 9). In commodities it is called the *roll return*, and the sign of the return is related to whether the futures curve is upward- or downward-sloping (see chapter 11).

In foreign exchange, the value strategy is called *carry*. This is a popular strategy that goes long currencies with high interest rates and shorts currencies with low interest rates. Traditionally, the former have been countries like Australia and New Zealand, and the latter have been countries like Japan and more recently the United States. In these cases, we can use versions of equation (7.2) within each asset class. For example, adapting Lustig, Roussanov, and Verdelhan (2011), we could capture the carry (or “value”) returns of a foreign currency by using

$$E(FX_i) = \beta_{i,FX} E(HML_{FX}), \quad (7.3)$$

where FX_i is the foreign carry return of country i , $\beta_{i,FX}$ is the loading of currency i on the carry factor HML_{FX} , which is formed by going long currencies with high interest rates minus currencies with low interest rates. There is no conceptual difference between the value strategy in currencies in equation (7.3) and the value strategy in equities in equation (7.2) in terms of viewing low prices as equivalent to high yields.

Value strategies turn out to have some common components across asset classes, as shown by Kojien et al. (2012) and Asness, Moskowitz, and Pedersen (2013). While we have compelling stories, both rational and behavioral, of value strategies within equities, bond, and currency markets, we have few theories to link the risk premiums of value strategies across markets.²⁹ Nevertheless, value is a pervasive factor and theoretically can be implemented cheaply and in size by

²⁹ See chapter 9 for bonds and chapter 11 for commodities. Burnside et al. (2010) develop a disaster-based explanation of the carry trade, similar to the disaster explanations of the equity premium (see chapter 8).